TABLE 25.1 Basic Diagnostic Questions for Behavioral Bias

Behavioral Bias	Diagnostic Question
Loss aversion	Imagine you make an investment that drops 25% in the first six months. You are unsure if it will come back. What would you normally do (NOT what you *think* you should do; what you *would* do)?
Endowment	How would you describe your emotional attachment to possessions or investment holdings?
Status quo	How would you describe the frequency of your trading?
Anchoring	You purchase a stock at $50 per share. It goes up to $60 in a few months, and then it drops to $40 a few months later. You are uncertain what will happen next. How would you respond to this scenario?
Mental accounting	Generally, do you categorize your money by different financial goals, or do you look at the bigger financial picture?
Regret aversion	Have you ever made an investment that you have regretted making? How did that affect your future investing decisions?
Hindsight	Do you believe investment outcomes are generally predictable or unpredictable?
Outcome	What's most important is that my investments make money—I'm not that concerned with following a structured plan.
Affinity	Do you invest in companies that make products you like or companies that reflect your personal values?
Cognitive dissonance	You purchase a stock and it goes down because the company's important new product launch is delayed indefinitely. The validity of your investment thesis is challenged. What is your immediate reaction to this news? Would you buy more or sell if those were the only two choices?
Self-attribution	Do you tend to attribute a winning investment to uncontrollable things such as good economic conditions or a good industry or your own investment prowess?
Recency	Have you made an investment based on a recent, successful track record only to find that you purchased at the top of the market?
Framing	Assume you have agreed to a financial plan created by your adviser that has a projected return of 9% and an annual standard deviation of +/–15% (a typical plan). Would it surprise you to know that statistically in the worst case, the plan's return could be negative 36% or more in 1 year out of 100? Would this information cause you to rethink your risk tolerance?

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